EQUITY RESEARCH | INDIA BANKING | INSTITUTIONAL GRADE

Tamilnad Mercantile Bank Ltd

NSE: TMB | BSE: 543596 | Private Sector Bank | Mid-Cap

RATING	TARGET PRICE	UPSIDE	CMP	HORIZON
BUY	Rs. 1,150	55%	Rs. 740	12 months
Conviction: HIGH	Entry Zone: Rs. 700-760	from CMP of Rs. 740	30 Apr 2026	3 May 2026

INVESTMENT THESIS: The deepest NPA clean-up in TMB's 100-year history is now complete; book trades at 1.16x FY26 P/B vs. 14% RoE — a valuation anomaly set to correct as 20%+ advances growth and geographic diversification drive a multi-year re-rating.

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	4,848	5,291	5,819	6,600E	7,480E
Net Interest Inc (Rs. Cr)	2,151	2,301	2,527	2,870E	3,290E
PAT (Rs. Cr)	1,072	1,183	1,338	1,555E	1,765E
EPS (Rs.)	67.70	74.68	84.47	98.2E	111.5E
P/E (x)	10.9	9.9	8.8	7.5	6.6
ROE (%)	14%	14%	14%	14.5%E	15.0%E
GNPA (%)	1.44%	1.25%	0.73%	0.70%E	0.65%E
P/B (x)	—	—	1.16	1.02E	0.90E

Source: Screener.in (standalone figures) | Data as of 30 Apr 2026 | E = Chartitude Estimates

Analyst: Chartitude Research | Report Date: 03 May 2026 | Rating: BUY

52-WEEK HIGH	Rs. 768	CMP	Rs. 740	52-WEEK LOW	Rs. 412	MARKET CAP	Rs. 11,712 Cr

SHAREHOLDING (Mar 2026)

Promoter: 0.00%	FII: 6.19%	DII: 1.91%	Public: 91.91%	Pledge: 0.00%	Shares: 15.83 Cr

SECTION 2 — INVESTMENT THESIS

Pillar	Thesis	Quantifiable Opportunity	Timeline
1. NPA Clean-Up Complete	GNPA collapsed from 4.32% (FY18) to 0.73% (Mar 2026) — the lowest in 40 quarters. PCR with write-offs at 96%. The credit cost drag is structurally behind us.	Credit cost normalising to <40 bps vs. 80-100 bps in FY20-22 frees Rs. 200+ Cr annually to PAT.	FY27 onwards — thesis intact
2. Deep Valuation Discount	TMB trades at 1.16x FY26 P/B vs. 14% RoE. Comparable private banks trade at 2-4x book. No promoter ownership creates M&A; optionality; any strategic stake acquisition = instant re-rating.	Closing the gap to 1.8x P/B (still below peers) implies a target of Rs. 1,150+ per share on FY26 book.	12-18 months
3. Growth Acceleration	Advances grew 20.32% in FY26 (22% ex-IBPC), the fastest in 40 quarters. Management has guided 20% loan growth for FY27. Geographic expansion beyond Tamil Nadu (168 branches, 27% of network) and MSME hub rollout provide a structural growth engine independent of the Tamil Nadu economic cycle.	FY27E PAT: Rs. 1,555 Cr (+16% YoY). FY28E PAT: Rs. 1,765 Cr (+14%). Digital transformation (Oracle Cloud, AI contact centre) to compress C/I ratio from 47% toward 42%.	FY27-28 multi-year compound

NEAR-TERM CATALYST (6-12 months)

Q1 FY27 results (July 2026): delivery on guided 20% advances growth and GNPA sub-0.70% will confirm the credit quality thesis and force upward EPS revisions. Any strategic investor announcement (FII limit at 6.19% vs. permitted 49%) would act as a strong re-rating catalyst.

BIGGEST STRUCTURAL RISK

Gold loan concentration (46.44% of advances) combined with new RBI LTV norms (effective April 2026) could slow disbursements and compress yields in the highest-margin segment of the book. Current portfolio LTV of 53.25% provides a 21-point buffer to the 75% regulatory ceiling.

SECTION 3 — BUSINESS OVERVIEW

Company Background: Incorporated in 1921 and headquartered in Thoothukudi (Tuticorin), Tamil Nadu, Tamilnad Mercantile Bank is one of India's oldest private sector banks. TMB listed on NSE/BSE in 2022 via an IPO priced at Rs. 510 per share. The bank is distinctive for having **no promoter ownership** — a structural feature that places it in the M&A; optionality pool for any domestic or foreign bank seeking a South India franchise.

Branch Network: TMB operates 622 branches (as of March 2026), with 73% in Tamil Nadu. The bank has 168 branches outside Tamil Nadu as of FY26, up from 153 in FY25, and targets 700+ branches by end-FY27 with an explicit goal of reducing Tamil Nadu concentration to below 65% over three years.

Revenue Segmentation: TMB derives approximately 60-62% of total revenue from interest income on loans (gold loans, MSME, retail, agriculture, corporate) and 15-17% from investment income. Fee income and other non-interest income contributes approximately 15%. Gold loans constitute 46.44% of advances — a structural feature that delivers high yields but creates concentration risk under volatile gold prices.

Business Model: TMB is a traditional relationship-based bank serving Tamil Nadu MSMEs, agriculturists, gold loan customers, and salaried retail borrowers. The MSME segment — historically the problem area — has been restructured with McKinsey engagement and dedicated MSME hubs, delivering double-digit growth in FY26 with improved underwriting. Total Business (Advances + Deposits) crossed Rs. 1.15 lakh crore in FY26.

Digital Transformation: The bank is mid-way through migration to Oracle Fusion Cloud (ERP, HCM, CX). Digital transactions now account for approximately 97% of total volumes. AI-powered contact centre deployed. Fintech partnerships (Rugr Fintech, Fin Meadows Technologies) for UPI merchant collections.

Key Customers: Predominantly retail borrowers (gold loan, housing, vehicle), SMSEs in Tamil Nadu's textile/leather/export industries, and agricultural customers in southern districts.

Promoter Background: No identified promoter group (0.00% promoter holding). Public shareholders own 91.91% of the bank. FII holding has grown steadily from 0.07% in June 2023 to 6.19% in March 2026 — a strong signal of rising institutional confidence in the turnaround.

Segment	Est. % of Advances	Key Metric (FY26)	Growth Trend
Gold Loans	46.44%	Retail gold: Rs. 6,507 Cr; Portfolio LTV: 53.25%	Slight decline QoQ in Q4 FY26; LTV buffer strong
MSME & Business	~22%	Double-digit growth; GNPA <1%	Accelerating post-McKinsey restructure
Retail (Housing, Vehicle, Personal)	~15%	Housing sanctions +22%; disbursals lagging	Strong pipeline; will accelerate in FY27
Agriculture	~10%	Seasonal; stable	Steady; GNPA negligible
Corporate & Others	~7%	Selective growth	Moderate; focus on quality

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Growth: India's scheduled commercial banking sector holds assets of approximately Rs. 260 lakh crore (March 2026). System credit grew approximately 11-13% in FY26, driven by retail, MSME, and infrastructure. Private banks collectively hold approximately 36% of system advances. ICRA forecasts credit growth of 11-13% for FY27, moderating from the FY25-26 peak but still above nominal GDP.

Policy Tailwinds: RBI's shift to an accommodative stance in mid-2025 (125 bps of cumulative repo rate cuts) has eased funding costs for deposit-funded banks. CRR cuts released approximately Rs. 1.1 lakh crore of liquidity into the system. For TMB specifically, CASA ratio improvement (26% to 28.14% in FY26) positions the bank to benefit from lower cost of funds.

Policy Headwinds: New RBI gold loan LTV norms (effective April 2026) and enhanced monitoring of gold loan NBFCs and banks introduces operational complexity for TMB given its 46% gold loan concentration. Deposit competition from mutual funds and small savings continues to pressure CASA ratios system-wide.

Competitive Moat Assessment: TMB's moat is MODERATE. Pricing power is moderate — the gold loan segment is commoditised but TMB's deep South India relationships provide stickiness. Switching costs are moderate for MSME customers embedded in TMB's credit infrastructure. Scale is limited vs. large private banks but adequate for the Tamil Nadu MSME niche. Brand equity in its home geography (100-year heritage) is genuinely strong.

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	P/B (x)	BV/Share	ROCE%	ROE%	Fwd PE	OPM%
HDFC Bank	771.70	11,88,073	N/A	N/A	N/A	7.41	N/A	14.59	40.38%
ICICI Bank	1,263.40	9,05,447	N/A	N/A	N/A	7.56	N/A	15.33	25.20%
Federal Bank	287.00	70,726	16.3	1.77	162	6.39	11.6%	13.19	64.15%
IndusInd Bank	916.00	71,370	76.5	1.09	838	5.69	1.44%	30.01	48.11%
T N Merc. Bank	740.00	11,712	8.76	1.16	638	7.51	14.0%	7.84	72.54%

Source: Screener.in, fetched 03 May 2026. N/A = data not pulled from individual Screener page for large banks.

MOAT FACTOR	RATING	COMMENT
Pricing Power	Moderate	Gold loan market is competitive; MSME lending has higher stickiness
Switching Costs	Moderate	Embedded MSME relationships but retail borrowers have alternatives
Brand & Heritage	Strong	100-year brand in Tamil Nadu; deep penetration in Thoothukudi corridor
Scale	Weak	Rs. 75,300 Cr balance sheet — dwarfed by Tier-1 private banks
M&A; Optionality	Strong	Zero promoter holding; foreign bank or large domestic bank could acquire

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Leadership: MD & CEO Salee Sukumaran Nair joined in August 2024, bringing a fresh strategic mandate. His first year saw the bank simultaneously execute three large-scale transformations: legacy systems to Oracle Cloud, business re-organisation into focused verticals, and geographic expansion beyond Tamil Nadu. CFO Sanjoy Kumar Goel has maintained consistent disclosure quality. ED Vincent Menachery Devassy oversees day-to-day operations. The senior team is professional-manager-led — no family succession dynamics.

Capital Allocation Track Record: TMB maintained one of the highest capital adequacy ratios in the Indian private banking segment — nearly double the regulatory minimum — through the NPA clean-up years (FY18-FY23). This preserved balance sheet strength at the cost of near-term growth. With the clean-up complete, capital is now being deployed aggressively into loan growth (+20% in FY26).

Dividend Policy: Dividend payout has been inconsistent — 0% in FY20-FY21 (COVID), 8% in FY23, 15% in FY24, 0% in FY25 (retained for growth), and 125% (Rs. 12.5/share on Rs. 10 face value) for FY26. Payout averaged 9.89% over the last 3 years — low by peer standards, but appropriate given the growth investment phase.

Governance: Promoter holding is 0.00% — unusual for an Indian bank. This is a double-edged sword: it eliminates promoter-driven governance risk but creates CEO/management transition risk. The board is professionally composed. RBI Governance Master Direction compliance is current. No related-party transaction concerns of note. SEBI disclosure compliance is current.

ESG/Pledging: Zero pledge on promoter shares (no promoter). ESOP policy in place. No material buyback history. No evidence of capital misallocation or fraudulent transactions in the bank's 100+ year history. Contingent liabilities of Rs. 6,543 Cr warrant monitoring but are not out-of-line for the bank's size.

SECTION 6 — FINANCIAL DEEP-DIVE (SOURCE: SCREENER.IN, STANDALONE)

INCOME STATEMENT (Rs. Crores, Standalone)

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Interest Income)	3,834	4,081	4,848	5,291	5,819	6,600	7,480
Interest Expenses	2,019	1,987	2,697	2,990	3,292	3,730	4,190
Net Interest Income (NII)	1,815	2,094	2,151	2,301	2,527	2,870	3,290
Operating Expenses	1,470	1,276	1,327	1,490	1,598	1,750	1,950
Financing Profit	346	818	824	811	930	1,120	1,340
Financing Margin %	9%	20%	17%	15%	16%	17%E	18%E
Other Income	812	629	645	850	877	950	1,010
Depreciation	33	54	75	86	0*	90E	95E
PBT	1,125	1,394	1,394	1,575	1,807	2,070	2,350
Tax %	27%	26%	23%	25%	26%	25%E	25%E
PAT	822	1,029	1,072	1,183	1,338	1,555	1,765
EPS (Rs.)	57.67	65.00	67.70	74.68	84.47	98.2E	111.5E
Dividend Payout %	9%	8%	15%	0%	15%	10%E	12%E

*FY26 Depreciation shown as 0 on Screener standalone view; likely embedded in operating expenses.

BALANCE SHEET (Rs. Crores, Standalone)

Item	FY24A	FY25A	FY26A
LIABILITIES			
Equity Capital	158	158	158
Reserves	7,763	8,850	9,952
Total Networth	7,921	9,008	10,110
Deposits	49,515	53,689	61,712
Borrowings	1,301	500	700
Other Liabilities	2,815	3,252	2,777
TOTAL LIABILITIES	61,552	66,450	75,300
ASSETS			
Fixed Assets	271	284	311
CWIP	0	0	0
Investments	15,263	15,101	15,693
Gross Advances (Other Assets)	46,019	51,065	59,296
TOTAL ASSETS	61,552	66,450	75,300

CASH FLOW STATEMENT (Rs. Crores, Standalone)

Item	FY24A	FY25A	FY26A
Cash from Operating Activity	-611	1,899	-101
Cash from Investing Activity	-100	-99	-118
Cash from Financing Activity	697	-960	26
Net Cash Flow	-14	840	-193
Free Cash Flow	-711	1,800	-219
CFO / Operating Profit %	-8%	60%	8%

KEY RETURNS & RATIOS

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
ROE %	17%	17%	14%	14%	14%	14.5%E	15.0%E
ROCE %	N/A	N/A	N/A	N/A	7.51%	N/A	N/A
Return on Assets %	N/A	N/A	N/A	N/A	1.89%	1.90%E	1.95%E

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
GNPA %	N/A	1.39%	1.44%	1.25%	0.73%	0.70%E	0.65%E
Net NPA %	N/A	0.62%	0.85%	0.36%	0.18%	0.15%E	0.12%E
CASA Ratio %	N/A	N/A	N/A	26.44%	28.14%	29%E	30%E
Cost to Income Ratio %	N/A	47.42%	N/A	N/A	N/A	N/A	N/A
Debt to Equity	0	3.32	8.22	5.55	6.17	N/A	N/A

Revenue drivers: NII grew 9.8% YoY in FY26 to Rs. 2,527 Cr, underpinned by 20.32% advances growth. Other income rose to Rs. 877 Cr from Rs. 850 Cr, partly aided by treasury gains and recoveries from written-off accounts. **Management guidance implies FY27 NII of Rs. 2,800-2,900 Cr** (approximately 10-15% growth), consistent with 20% advances growth partially offset by NIM compression in a falling-rate environment. **Margin trajectory:** Financing margin compressed from 20% (FY23) to 15-16% (FY25-26) due to rising deposit costs. The RBI rate cuts should stabilise deposit costs in H2 FY27, supporting margin recovery. **Working capital / balance sheet:** Deposits grew 14.94% to Rs. 61,712 Cr; advances at Rs. 44,366 Cr (from Screener insights data). CASA improvement from 26.44% to 28.14% reduces cost of funds. **FCF note:** For banks, OCF is inherently volatile due to working capital movements in advances/deposits. The FY25 OCF of Rs. 1,899 Cr reflects strong underlying profitability; the FY26 negative OCF (-Rs. 101 Cr) is consistent with accelerated loan disbursement, not a quality concern. **Debt:** Total bank debt (including deposits) is Rs. 62,412 Cr (D/E of 6.17x) — structurally normal for a bank of this size.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Status	Rating	Comment
Revenue Recognition	Interest income accrual on advances; fee income on service delivery	Green	Standard banking revenue recognition; no aggressive policies noted
Receivables vs Revenue Growth	Advances grew 20%; GNPA declined to 0.73%	Green	Healthy growth with declining delinquencies — clean expansion
CCC / NPA Trend	GNPA: 1.44% (FY24) -> 1.25% (FY25) -> 0.73% (FY26)	Green	Consistent multi-quarter improvement; leading indicators (SMA%) also declining
Contingent Liabilities	Rs. 6,543 Cr vs. Rs. 11,712 Cr market cap	Amber	Elevated at 56% of MCap; primarily bank guarantees/LCs — standard but warrants monitoring
Auditor Tenure & Quality	Large audit firm; no red flags in recent filings	Green	No auditor qualification or adverse opinion noted
Related Party Transactions	No promoter; RPTs minimal as % of revenue	Green	Zero promoter concentration eliminates RPT tunneling risk
Other Income as % of PBT	Other Income: Rs. 877 Cr vs. PBT Rs. 1,807 Cr = 49%	Amber	Non-interest income is substantial; sustainability of treasury gains is a watch item
Tax Rate Consistency	23% (FY24), 25% (FY25), 26% (FY26)	Green	Normalised to statutory rate; no aggressive deferred tax manipulation
Interest Coverage	1.55x (from Screener)	Amber	Low by non-bank standards; acceptable for a bank given deposit-funded model

Earnings Quality Summary: TMB's reported earnings are broadly clean. The primary watch item is the contribution of other income (49% of PBT in FY26) — elevated relative to peers and partially driven by non-recurring treasury gains and NPA recovery income. Stripping these to a normalised 35-40% of PBT implies underlying recurring PAT of approximately Rs. 1,200-1,250 Cr in FY26 — still growing, but at a more moderate rate. The NPA clean-up is genuine and multi-quarter verified. No concerns on revenue recognition or RPTs.

SECTION 8 — VALUATION

PEER VALUATION COMPARISON (Source: Screener.in, fetched 03 May 2026)

Company	CMP	MCap (Cr)	P/E (x)	P/B (x)	BV/Share	ROCE%	ROE%	Fwd PE	GNPA%
Federal Bank	287	70,726	16.3x	1.77x	Rs.162	6.39%	11.6%	13.2x	N/A
IndusInd Bank	916	71,370	76.5x	1.09x	Rs.838	5.69%	1.44%	30.0x	N/A
T N Merc. Bank	740	11,712	8.76x	1.16x	Rs.638	7.51%	14.0%	7.84x	0.73%
Sector Median (8 peers)	—	—	16.4x	~2.0x	—	6.71%	~12%	13.1x	~1.5%

VALUATION METHODOLOGY

Method 1 — Price-to-Book (P/B): TMB trades at 1.16x FY26 book value (BV = Rs. 638). Applying a 1.7x P/B multiple to FY27E book value of approximately Rs. 726 (BV + estimated Rs. 88 retained EPS after 10% dividend) yields a target of Rs. 1,234. We apply 1.7x — a discount to comparable mid-size private banks (Federal Bank at 1.77x) — to account for TMB's smaller scale, geographic concentration, and gold loan regulatory risk. **Method 2 — P/E (Earnings Multiple):** FY27E EPS of Rs. 98.2, applying a 12x P/E multiple (sector median 16.4x; discounted for size/concentration risks) yields Rs. 1,178. **Blended Target (50:50):** (1,234 + 1,178) / 2 = Rs. 1,206. We round to Rs. 1,150 as our conservative base-case target (applying a further ~5% discount for illiquidity and execution risk), implying **55% upside from CMP of Rs. 740**.

SCENARIO ANALYSIS

Scenario	Key Assumption	FY27E PAT (Cr)	Multiple	Target Price	Upside vs CMP
BULL	25% advances growth; NIM recovers to 16.5%; GNPA <0.60%; M&A; bid premium	Rs. 1,750	14x P/E / 2.0x P/B	Rs. 1,450+	+96%
BASE	20% advances growth; NIM stable at 16%; GNPA 0.70%; no M&A;	Rs. 1,555	12x P/E / 1.7x P/B	Rs. 1,150	+55%
BEAR	12% advances growth; gold loan LTV norms crimp disbursals; NIM -50bps; credit costs rise	Rs. 1,250	9x P/E / 1.3x P/B	Rs. 830	+12%

Even in the Bear scenario (Rs. 830), the stock offers 12% upside from CMP of Rs. 740, demonstrating that downside risk is limited at current valuations. The margin of safety is strong: the stock is pricing in near-zero growth multiple despite 14% ROE and accelerating advances growth.

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitoring Indicator
Gold Loan Regulatory Risk	New RBI LTV norms (effective Apr 2026) cap gold loan LTVs. With 46.44% of advances in gold loans and current portfolio LTV at 53.25%, TMB has buffer — but enforcement could slow disbursals and compress yields.	Medium	High	Quarterly gold loan portfolio growth; LTV band disclosures
NIM Compression	RBI repo rate cuts (125 bps cumulative since mid-2025) may reduce lending yields faster than deposit cost repricing, compressing NIMs below 15% in FY27.	High	Medium	Quarterly NII growth; financing margin % in quarterly results
Geographic Concentration	Over 73% of branches in Tamil Nadu expose the bank disproportionately to local economic/political disruptions, drought cycles, or MSME sector stress in the state.	Low	High	Tamil Nadu GSDP growth; branch diversification ratio quarterly
Other Income Sustainability	Other income at 49% of PBT in FY26 includes non-recurring treasury gains and NPA recoveries. Normalisation would reduce reported PAT growth.	High	Medium	Other income breakdown in quarterly P&L; watch treasury gains line
Management Continuity	No promoter group = management continuity is entirely dependent on RBI approvals and board decisions. Loss of the current MD before strategic transformation is complete = execution setback.	Low	High	Board announcements; any MD/CEO transition notice
Technology Execution Risk	Oracle Cloud migration underway. Mid-migration system failures or cost overruns could impair operations and increase non-performing assets if credit monitoring is disrupted.	Low	Medium	IT capex disclosures; any operational disruption announcements
CASA Slide	Structural competition from mutual funds and digital wallets continues to divert savings. A reversal of CASA momentum (currently 28.14%) would raise cost of funds and squeeze NIMs.	Medium	Medium	CASA ratio quarterly; SB deposit growth trend

SECTION 10 — RECOMMENDATION

FINAL RATING	
Rating:	**BUY — Conviction: HIGH**
12-Month Price Target:	**Rs. 1,150 (upside: 55% from CMP of Rs. 740)**
Suggested Entry Zone:	Rs. 700 – 760 (accumulate in tranches on dips)
Investment Horizon:	12 months primary; 24-36 months for full thesis realisation
Ideal Investor Profile:	Value / GARP investors; tolerance for mid-cap banking volatility; 12-18 month holding capacity

THESIS INVALIDATION TRIGGERS

#	Trigger	Action
1	GNPA reverses above 1.5% for two consecutive quarters — signals fresh NPA cycle beginning	**SELL**
2	Gold loan share rises above 50% of advances while LTV buffer erodes below 5% — concentration risk escalation	**REDUCE**
3	MD/CEO exit before FY27 results AND no credible replacement announced — execution continuity risk	**HOLD / REVIEW**

Summary: Tamilnad Mercantile Bank is a textbook value unlock story. A 100-year-old franchise with zero promoter overhang, a completed credit quality cycle (GNPA at decade-low 0.73%), and accelerating 20%+ growth — all priced at just 1.16x book and 8.76x trailing earnings. The key catalyst for the next 12-18 months is consistent execution of management's FY27 guidance: 20% loan growth, sub-0.70% GNPA, and CASA ratio trending toward 30%. A strategic investor or M&A; event would be the bull case accelerant. BUY with target Rs. 1,150.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (MARCH 2026)

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result Quality	**Strong**	Beat on PAT, Revenue, NII vs. implied street estimates
Management Tone	Bullish	MD explicitly confident; all FY26 guidances exceeded; FY27 guidance raised
Guidance Delta	**Raised**	Advances guided 20% for FY27 (was 16-17% in FY26 and exceeded at 20.32%)

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

TMB delivered a genuinely clean Q4 FY26 result — PAT of Rs. 374 Cr is up 28% YoY and 8% QoQ with no exceptional items inflating the number. The headline profit is real. NII grew 24% for the full year; the GNPA at 0.73% is the lowest in 40 quarters and the decline is structural — SMA book (early-warning metric) also at a multi-year low. The bank exceeded every single guidance it gave for FY26: advances at 20.32% vs. 16-17% guided, deposits at 14.94% vs. 13-13.5% guided, CASA at 22.35% growth vs. 15% guided. The multi-bagger thesis here is the re-rating of a 100-year franchise from 1.16x book to 1.7-2.0x as the market progressively accepts that the NPA cycle is over; the near-term catalyst is Q1 FY27 (July) showing 20%+ loan growth maintained and GNPA holding below 0.75%. The one watch item is the elevated contribution of other income (49% of PBT) — some of this is recoveries from written-off accounts which will diminish as the legacy NPA pool dries up; the clean core PAT is closer to Rs. 1,200 Cr vs. reported Rs. 1,338 Cr but still growing. ACCUMULATE on all dips in the Rs. 700-760 range; exit only if GNPA reverses.

CONCALL SECTION 1 — FINANCIAL PERFORMANCE SNAPSHOT | Q4 FY26 (MAR 2026)

Metric	Q4 FY26 Actual	Q4 FY25 Actual	YoY %	QoQ %	Verdict
Revenue (Rs. Cr)	1,550	1,342	+15.5%	+1.8% vs Q3	**Beat**
Net Interest Income	704	568	+24.0%	+3.4% vs Q3	**Beat**
Financing Margin %	17%	14%	+300 bps	+100 bps vs Q3	**Beat**
Other Income (Rs. Cr)	242	200	+21.0%	+4.3% vs Q3	**In-line**
PBT (Rs. Cr)	504	387	+30.2%	+7.9% vs Q3	**Beat**
Tax %	26%	25%	+100 bps	Stable	**In-line**
Net Profit / PAT (Rs. Cr)	374	292	+28.1%	+9.4% vs Q3	**Beat**
EPS (Rs.)	23.60	18.43	+28.1%	+9.4% vs Q3	**Beat**
GNPA %	0.73%	1.25%	-52 bps	-18 bps vs Q3	**Beat**
Net NPA %	0.18%	0.36%	-18 bps	-2 bps vs Q3	**Beat**

NOTE: Full Year FY26 — Revenue Rs. 5,819 Cr (+10% YoY), PAT Rs. 1,338 Cr (+13% YoY), EPS Rs. 84.47.

CONCALL SECTION 2 — SEGMENT / BUSINESS BREAKDOWN

Segment / Metric	FY26 Value	YoY %	QoQ %	Commentary
Total Advances (Rs. Cr)	44,366	+20.32% (22% ex-IBPC)	Highest in 40 qtrs	Broad-based across gold, MSME, retail
Gold Loans (Retail, Rs. Cr)	6,507	Slight decline QoQ	-3% QoQ from 6,700	LTV at 53.25%; at-risk portfolio only 12.31%
Gold Loan as % of Advances	46.44%	N/A	N/A	Core product; RBI LTV norms = risk to watch
MSME Advances	Double-digit growth	10%+ YoY	Growing	Post-McKinsey restructure; GNPA sub-1%
Retail (Housing, Vehicle etc)	6,507 (excl gold)	Growing	Housing sanctions +22%	Disbursals lagging sanctions; will flow through Q1 FY27
Total Deposits (Rs. Cr)	61,712	+14.94%	Highest in 39 qtrs	Liability franchise strengthening

Segment / Metric	FY26 Value	YoY %	QoQ %	Commentary
CASA (Rs. Cr)	17,365	+22.35%	Improving	CASA ratio improved to 28.14% vs. 26.44% FY25
Total Business (Rs. Cr)	1,15,091	+17.37%	Above guidance	Exceeded 15% guidance; all metrics beat
Branch Network	622	Added 44 branches	Non-TN: 168	Target 700+ by FY27-end

CONCALL SECTION 3 — MANAGEMENT COMMENTARY THEMES

Theme	What They Said	Our Read	Tag	Tone
All FY26 guidances exceeded	Advances 20.32% vs. 16-17% guided; deposits 14.94% vs. 13-13.5%; CASA growth 22.35% vs. 15%	Execution consistently above plan — management credibility high	[GUIDANCE]	**Transparent**
FY27 growth targets set	Advances ~20%, deposits ~16%, ROE 14-15%, CASA ratio >28.14%	Ambitious but achievable given FY26 execution track record	[GUIDANCE]	**Transparent**
Credit quality at decade best	GNPA 0.73% lowest in 40 quarters; SMA also at multi-year low; PCR with write-offs at 96%	Structural clean-up, not cyclical; forward NPA pipeline is benign	[GUIDANCE]	**Transparent**
Gold loan risk management	Portfolio LTV at 53.25%; at-risk tranche only 12.31%; asset resolution branches being set up	Management proactively managing gold loan risk; buffer is adequate for now	[GUIDANCE]	**Transparent**
Geographic diversification	Non-Tamil Nadu branches at 168; FY27 target 700+ branches total; MSME hubs in 8 of 12 regions	Long-term structural shift; execution will take 3-5 years to materially shift concentration	[GUIDANCE]	**Transparent**
Digital transformation	Oracle Cloud migration; AI contact centre deployed; 97% of transactions digital; fintech tie-ups	Catching up with larger peers; meaningful IT investment but full benefits are 12-18 months away	[GUIDANCE]	**Transparent**
Dividend raised to 125%	Board recommended dividend of 125% (Rs. 12.5/share) for FY26 vs. 0% in FY25	Board confidence in capital sufficiency; capital adequacy well above regulatory minimum	[GUIDANCE]	**Transparent**
Housing loan disbursements lagging	Housing sanctions +22% but disbursements flat; "always a lag between sanctions and disbursement"	Normal pipeline build-up; Rs. 500+ Cr of housing disbursals will flow into Q1-Q2 FY27	[EST]	**Transparent**

CONCALL SECTION 4 — OPERATING & BUSINESS METRICS

KPI	Q4 FY26	Q3 FY26	Q4 FY25	Trend
GNPA %	0.73%	0.91%	1.25%	Declining (Positive)
Net NPA %	0.18%	0.20%	0.36%	Declining (Positive)
CASA Ratio %	28.14%	N/A	26.44%	Improving
CASA (Rs. Cr)	17,365	N/A	14,192E	Growing (+22.35% YoY)
Total Business (Rs. Cr)	1,15,091	N/A	98,050E	Growing (+17.37% YoY)
Gross Advances (Rs. Cr)	44,366	N/A	39,396	Growing (+20.32%)
Deposits (Rs. Cr)	61,712	N/A	53,689	Growing (+14.94%)
Gold Loan Portfolio LTV	53.25%	N/A	N/A	Well below 75% regulatory ceiling
Gold Loan as % of Advances	46.44%	N/A	N/A	Slight decline — diversification underway
Financing Margin %	17%	18%	14%	Stable-to-improving
Branches	622	N/A	578	Growing (+44 in FY26)
Non-Tamil Nadu Branches	168	N/A	153	Growing (+10%)

CONCALL SECTION 5 — MARGIN DRIVERS

Driver	Impact	Recurring?	Comment
Advances growth (+20.32%)	Positive — volume expansion	Yes	Core business driver; structural if 20% guidance holds for FY27

Driver	Impact	Recurring?	Comment
CASA ratio improvement (26% to 28.14%)	Positive ~30-40 bps on CoF	Yes	Structural; CASA momentum accelerating
NPA recoveries in Other Income	Positive — elevated FY26	Partially	Diminishes as legacy NPA pool depletes; do not extrapolate fully
Treasury gains	Positive in FY26 falling rate env.	No	Non-recurring; will normalise as rate cycle stabilises
Interest rate cuts (RBI -125 bps)	Negative on NIM (yield compression)	Yes — for FY27	Lending rate cuts precede deposit repricing; short-term NIM headwind
Credit cost normalisation (<40 bps)	Positive ~Rs. 200 Cr annual release	Yes	Full benefit to flow through FY27; major FY27 PAT driver
Opex acceleration (IT, branches)	Negative — cost-to-income elevated	Yes — FY27	Investment phase; management acknowledged some expenses preponed in Q4 FY26

CONCALL SECTION 6 — GUIDANCE & FORWARD SIGNALS

Metric [GUIDANCE]	FY26 Actual	FY26 Original Guidance	FY27 New Guidance	Credibility
Advances Growth	20.32% (22% ex-IBPC)	16-17%	~20%	High
Deposit Growth	14.94%	13-13.5%	~16%	High
CASA Growth	22.35%	15%+	>28.14% ratio	High
Total Business Growth	17.37%	15%+	~18%E	High
ROE %	14% (FY26)	13-15%	14-15%	High
Dividend	125% recommended	Not guided formally	10-15%E payout	Medium
Branch Expansion	44 branches added; 622 total	N/A	700+ by FY27-end	High
Cost to Income	N/A (some expenses preponed)	N/A	Targeting improvement toward 42-44%	Medium

CONCALL SECTION 7 — CAPITAL ALLOCATION

Item	FY26 Amount (Rs. Cr)	vs. FY25	Comment
Capex (Fixed Assets net addition)	~27 (311-284)	Up from ~13 in FY25	Branch expansion + IT infrastructure investment
Dividends	Rs. 12.5/share (Rs. ~198 Cr total)	0 in FY25	125% payout; board signalling capital confidence
Loan Book Growth	+Rs. 8,231 Cr (advances net increase)	Accelerated (+20.32%)	Primary capital deployment; returns-accretive at 14% ROE
Net Borrowings	Rs. 700 Cr (Rs. 200 Cr net increase)	Down from Rs. 1,301 Cr (FY24)	Minimal; primarily for short-term liquidity management
Net Deposit Growth	+Rs. 8,023 Cr	+14.94% YoY	Primary funding source; cost improved via CASA mix shift
IBPC (Inter-Bank Participation Cert)	Rs. 1,000 Cr sold	New in FY26	Balance sheet management tool; cleaned loan-to-deposit optics
Equity Capital	Unchanged at Rs. 158 Cr	No new issuance	No equity dilution planned; organic capital generation adequate

CONCALL SECTION 8 — Q&A; HEAT MAP

#	Analyst	Question	Management Answer	Tone
1	Digant Haria	Gold loan delinquency management; impact of RBI LTV norms	Portfolio LTV at 53.25%; at-risk tranche just 12.31%; asset resolution branches being set up; buffer to RBI 75% ceiling is 21+ points; management confident on containment	Transparent
2	Digant Haria	Retail gold loan portfolio — why did it degrow QoQ to Rs. 6,507 Cr from Rs. 6,700 Cr?	Acknowledged slight decline; attributed to normal seasonal patterns and proactive LTV management; not a structural issue	Transparent
3	Digant Haria	Housing loan — why not growing despite strong sanctions?	Sanctions up 22% but disbursements have natural lag; will convert to disbursals in Q1-Q2 FY27	Transparent

#	Analyst	Question	Management Answer	Tone
4	Darshan Deora	ROE guidance for FY27?	Targeting 14-15% ROE; "14% to 15% in that bracket"; expects profits to move up	Transparent
5	Darshan Deora	CASA ratio target — is there an internal target?	Has an internal target but "slightly longest" — will not commit publicly; said 28.14% will keep moving up	Hedged
6	Darshan Deora	Cost-to-income — why elevated? Were expenses preponed?	Acknowledged some expenses were preponed; investment in IT and branches is intentional; targeting improvement toward 42-44% over time	Transparent
7	Varun Dubey	FY27 guidance on loan and deposit growth?	Formally guided ~20% loan growth and ~16% deposit growth for FY27; expressed confidence based on strong pipeline and branch additions	Transparent
8	Multiple analysts	Sustainability of other income (recoveries, treasury gains)	Management did not explicitly address the sustainability concern; focused on total profitability metrics	Hedged

DODGED QUESTIONS TO WATCH NEXT QUARTER

1. Sustainability of other income — no explicit guidance on treasury vs. core fee income split. 2. CASA ratio long-term target — management hedged; watch for explicit number in investor presentation. 3. Gold loan growth trajectory for Q1 FY27 — given new LTV norms effective April 2026, Q1 disbursement data is critical.

CONCALL SECTION 9 — RISKS FLAGGED ON THE CALL

Risk	Flagged By	Probability	Impact	Timeline
Gold loan LTV norms (RBI April 2026)	Analyst (Digant Haria)	Medium	Medium-High	Q1 FY27 disbursals
Other income sustainability / quality	Implied by analyst questions	High	Medium	FY27 full year
CASA ratio sustainability in competitive market	Analyst (Darshan Deora)	Medium	Medium	FY27 ongoing
Housing loan disbursement conversion	Analyst follow-up	Low	Low-Medium	Q1-Q2 FY27
Cost-to-income elevation / IT spend	Analyst (Darshan Deora)	Medium	Medium	FY27 opex trend
MSME book quality at scale	Management proactively flagged	Low	Medium	FY27 GNPA trend

CONCALL SECTION 10 — ANALYST VERDICT

Multi-Bagger Factor	Status	Comment
Revenue Visibility	Intact	20% advances guidance + strong pipeline; housing disbursals lagged = future boost
Margin Trajectory	Intact	NIM stabilising at 16%+; CASA driving CoF down; credit cost normalisation = PAT tailwind
Capital Allocation Quality	Intact	Deploying into growth at 14% ROE; no equity dilution; dividend restored
Competitive Moat	Intact	100-year franchise; deep South India MSME relationships; zero promoter = M&A; target
Management Credibility	Intact	All FY26 guidances exceeded; tone is confident; disclosures are thorough and candid
Valuation Comfort	Intact	8.76x trailing P/E, 1.16x P/B, 55% upside to target — deeply undervalued vs. 14% RoE

CONVICTION CALL	VALUATION SNAPSHOT (vs. 5Y average where available)
Conviction: INCREASED | Post-Call Action: ACCUMULATE	P/E: 8.76x | EV/EBITDA: 14.04x | P/B: 1.16x | RoE: 14% Sector Median P/E: 16.4x | Sector Median P/B: ~2.0x TMB discount to sector: ~47% on P/E, ~42% on P/B — compression trade with strong earnings growth